

Supercycle uptrend, and just like technicians who follow the trend, such “philosophies” simply reflect a mental adjustment to what has been. The long term version offered by my fellow panelist merely reflects trend following on a large time frame. This opinion has had other periods of widespread acceptance that always turned out to be the latter years of extended uptrends. Had you attended a stock market panel in London in the year 1784, undoubtedly more than one participant would have argued that common stocks are worthless as a long term investment, that rallies were always temporary, that prices always return to a low level eventually. A 64-year bear market would have taught them that, and they would have been just as wrong as present day champions of buy-and-hold-’em-for-ever will soon prove to be.

The second reason why so many professionals advise never selling is the one repeated by every stock selecting money manager who has reached guru status: “No one can time the markets.” What this sentiment truly means is, “*I can’t time the markets.*” It is not uncommon for people to think so highly of themselves that an inability on their part means an impossibility on everyone else’s part. Yet to raise such an inability to the status of an investment philosophy has the potential to be devastating not only to its practitioners’ portfolios, but to those of every individual investor who swallows this line of thinking.

Logically, while timing may be difficult, *an opinion on the market cannot be avoided*, even by those who claim to be doing so. Every investment requires a market opinion. Those who say they have no opinion are merely expressing, by their action of purchasing or holding stocks, a bullish outlook at some degree of trend. If you are going to invest your money in any market, you must have an opinion, you must justify it, you must decide in advance either the grounds for deciding you must exit the position or that you will write off the entire amount if necessary, and finally, you must live with your decision.

Truly successful professional traders and market timers usually end up cultivating a *preference* for bear markets. One reason is that bear markets are swifter, and the reward for being right comes more quickly. A second reason, justifiable or not, is ego gratification. Any novice can luck into a profit in a bull market, but it takes a knowledgeable player to profit from a bear. Most people are perfectly happy to become invested in a bull market, but those willing to hold 100% cash (or to go short) in a bear market are few and far between. (For some money managers, 20% cash is a “maximum bear-